<u>SECTION A – CASE QUESTIONS</u> (Total: 50 marks)

Answer ALL of the following questions. Marks will be awarded for logical argumentation and appropriate presentation of the answers.

<u>CASE</u>

Mr Chan is the Chief Financial Officer of Alpha Limited ("AL"), a private limited company carrying on investment activities in Hong Kong. The company uses 31 December as its accounting year end date. Recently there are two issues identified by him with respect to AL with possible profits tax implications. In addition to the said business matters, Mr Chan is also required to address some of his own tax matters. The relevant details are as follows:-

<u>Issue 1</u>

In June 2018, AL acquired a commercial property ("Property W") for long term investment purposes and utilised it as office premises internally. Property W had been acquired by the previous owner in form of new property from its developer in 2010, and since then it had been used as office premises continuously until the acquisition by AL. In preparing the profits tax computation for the year of assessment 2018/19, AL adopted half of the purchase price ("Acquisition Price") of acquiring Property W as the ranking cost in computing the commercial building allowances ("CBA"), and multiplied the ranking cost by 4%.

Recently, the Inland Revenue Department ("IRD") issued a letter to AL pointing out that the abovesaid methodology was not acceptable and should be revised. In addition, the IRD indicated that, other than the revision of the computation methodology, half of the first assignment price (i.e. sales consideration executed between the developer of Property W and its previous owner) should be adopted as the cost of construction in computing the CBA attributable to Property W instead of using half of the Acquisition Price.

<u>Issue 2</u>

AL established a wholly owned subsidiary namely Beta Limited ("BL") (again using 31 December as its accounting year end date) ten years ago as an investment vehicle.

Upon incorporation, BL acquired two investment properties at once (Property X and Property Y) for long term investment purposes for generating constant rental incomes. The IRD has also agreed with this long term investment intention with BL upon the acquisitions.

Earlier this year, BL disposed of Property X and derived a substantial gain thereon. BL continuously held Property Y after disposing of Property X.

In view of the flourishing sentiment in the property market, and the considerable increase of property value in the market continuously since early this year, the management of BL recently resolved to dispose of Property Y to an unrelated buyer at the current market value. The directors of BL believed that the disposal of Property Y should not have any profits tax exposure, as it is merely a realisation of long term capital asset and the entire gain derived thereon should be capital in nature and should not be assessable to profits tax at all.

<u>Tax matters of Mr Chan</u>

The Tax Return – Individual for the year of assessment 2018/19 had been issued to Mr Chan and was due for submission soon. **Annex** attached is the details of his and his wife's remuneration and other relevant information. He would like to ascertain his salaries tax liabilities in completing the Return.

It is also noted that since January 2019, Mr Chan has been appointed as the accountant of AL's subsidiary established in Shenzhen, China ("the PRC Subsidiary"). In this regard, he is required to travel to Shenzhen on a routine basis for reviewing the books of accounts of the PRC Subsidiary. It is further noted that in 2019 Mr Chan stayed in the PRC for 100 full days. Mr Chan receives monthly salary directly from the PRC Subsidiary.

Annex

Mr Chan (and Mrs Chan)
Information of remuneration and related details
For the year ended 31 March 2019

- Income of Mr Chan
  - As the CFO of AL, he received a monthly salary of HK$130,000 plus a one month year-end bonus.
  - He has also been appointed as Independent Non-executive Director of a Hong Kong Listed company (unrelated to AL). Total director's remuneration thereon was HK$200,000.

- Accommodation
  - A residential property in Yuen Long owned by AL was provided to Mr Chan as his residence. The market rental value of the property was HK$13,000 per month. Mr Chan was required to pay HK$2,000 per month as rental to AL. The property's ratable value was HK$127,000.
  - The home utilities services in the Yuen Long property were all registered by Mr Chan with the service providers, and all utility charges were settled by him. Pursuant to the employment contract, AL subsidised 30% of these utilities expenses to Mr Chan. During the year, he received subsidies totalling HK$8,000 from AL.

- Income of Mrs Chan
  - Mrs Chan was a housewife and did not maintain any full time employment. However, she was a part-time tutor working in a tutorial centre on hourly basis. During the year she received total salary of HK$63,000 thereon.

- Other information
  - Mr Chan contributed HK$36,000 in total to the Mandatory Provident Fund ("MPF"). He also paid HK$3,300 to an overseas professional accountancy body to maintain his accountant's qualification in Australia.
  - Mrs Chan did not have any MPF contributions. Yet, she donated HK$6,000 to an approved charitable body during the year.
  - Mr and Mrs Chan had their first new born baby during the year. As a token of celebration, AL presented a gift (golden medal with market value of HK$9,000) to Mr Chan. In addition, AL contributed HK$20,000 to a discretionary education trust established by Mr Chan for his new born baby.
  - Except for the income specified above, both Mr Chan and Mrs Chan did not have any other source of income.

Question 1 **(15 marks – approximately 27 minutes)**

With respect to Issue 1,

(a) **Analyse whether the existing CBA computation methodology adopted by AL is consistent with the relevant provisions stipulated in the Inland Revenue Ordinance ("IRO").**

(11 marks)

(b) **Analyse the appropriateness in adopting half of the first assignment price versus half of the Acquisition Price of Property W to be the cost of construction in the computation of CBA as raised by the IRD and adopted by AL respectively.**

(4 marks)

Question 2 **(10 marks – approximately 18 minutes)**

In connection with the disposal of Property X earlier this year and the recent resolution in disposing of Property Y,

(a) **Analyse the possible impact on the long term investment intention of BL in holding Property Y originally agreed by the IRD.**

(4 marks)

(b) **Analyse the respective profits tax implication of the abovesaid impact attributable to BL in accordance with the relevant legal principles established by the precedent court case and provisions in the IRO.**

(6 marks)

Question 3 **(17 marks – approximately 30 minutes)**

On the basis of making the most favorable elections stipulated in the IRO where applicable, compute the salaries tax liabilities of Mr Chan and Mrs Chan for the year of assessment 2018/19 (ignore provisional tax and the income received by Mr Chan from the PRC Subsidiary).

(17 marks)

Question 4 **(8 marks – approximately 15 minutes)**

(a) Without considering the Arrangement between the Mainland of China and the Hong Kong Special Administrative Region for the Avoidance of Double Taxation and the Prevention of Fiscal Evasion with respect to Taxes on Income ("the Arrangement"), analyse the PRC Individual Income Tax exposure, if any, of Mr Chan with respect to his income derived in 2019.

(4 marks)

(b) Analyse if Mr Chan could be entitled to any preferential PRC tax relief in the context of the Arrangement with respect to his income from the PRC Subsidiary.

(4 marks)

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End of Section A

SECTION B – ESSAY/ SHORT QUESTIONS (Total: 50 marks)

Answer ALL of the following questions. Marks will be awarded for logical argumentation and appropriate presentation of the answers.

Question 5 (8 marks – approximately 15 minutes)

Gorgeous Limited ("GL") is a Hong Kong incorporated company that closes its accounts on 31 December annually. The IRD issued the profits tax return for the year of assessment 2017/18 on 3 April 2018 and, upon GL's request, an extension of time was granted for filing the return to 15 August 2018. Due to the resignation of the finance manager, the 2017/18 profits tax return was not attended to. In the absence of return filed on or before the extended due date, the assessor issued an estimated assessment for the year of assessment 2017/18 on 7 September 2018 pursuant to s.59(1) of the IRO.

(a) If GL disagreed with the estimated assessment raised by the assessor, advise the necessary action that GL should take in respect of the notice of assessment for the year of assessment 2017/18, and advise the necessary documents required, if any.

(4 marks)

(b) Advise the consequence under the following circumstances:

(i) If GL realised that the estimated assessment was raised on incorrect basis but did not take any action.

(ii) If GL filed a tax return with the correct amount of adjusted loss on 31 December 2018.

(4 marks)

Question 6 (11 marks – approximately 20 minutes)

Following Question 5, GL submitted the profits tax return for the year of assessment 2017/18 with returned profits of HK$2,000,000 on 3 October 2018. After the assessment had become final and conclusive, GL received a "Notification of Intention to assess additional tax given under s.82A of the Inland Revenue Ordinance" issued by the Commissioner of Inland Revenue ("CIR") on 1 November 2018 in which CIR intended to impose a penalty, known as "additional tax", up to three times the amount of tax that would have been undercharged.

Mr Gordon, the chairman of GL, worried about the above notification and approached Mr Alan Ng, an independent tax consultant running his sole proprietor business Alan Ng & Co, for advice. During his discussion with Mr Ng, Mr Gordon suggested that GL might inform the CIR that the tax return had been filed by post a week before the due date and the company should not be liable to any consequence arising from the return lost by post, though he knew this was not true.

(a) Analyse the ethical considerations Mr Ng should be aware of in the course of providing the tax consultancy services to GL.

(6 marks)

(b) It is assumed that Mr Gordon abandoned his plan on Mr Ng's advice. It was noted that CIR issued a Notice of Assessment and Demand for Additional Tax under s.82A of the IRO in which GL was required to pay a punitive sum of HK$10,000 as additional tax. Advise the action that GL should take if it disagreed with the aforesaid notice that demanded for the additional tax. Also state the document required, if any, to support its action.

(5 marks)

<u>Question 7</u> (14 marks – approximately 25 minutes)

Mr Chan and Mrs Chan are both Hong Kong permanent residents and did not own any residential property or car parking space in Hong Kong before. On 1 November 2016, they jointly entered into a provisional agreement for sale and purchase ("PASP") to acquire a residential property ("Property A") as their only residential property in Hong Kong together with two car parking spaces located at the same building at a price of HK$30,000,000. The formal agreement for sale and purchase ("ASP") and the assignment were signed on 13 November 2016 and 30 December 2016 respectively. Property A and the two car parking spaces were separable for sale and purchase. The valuation of the residential property and the two car parking spaces are HK$25,000,000 and HK$5,000,000 respectively.

On 1 August 2017, Mr Chan entered into a PASP to acquire a residential property ("Property B"). Mrs Chan entered into a PASP to acquire a residential property ("Property C") on 3 September 2017. Mr Chan and Mrs Chan entered into a PASP to dispose of Property A on 2 October 2017. AVD at Scale 1 rates had been paid for acquisitions of Property B and C. Property B and Property C were assigned to Mr Chan and Mrs Chan on 30 September 2017 and 1 November 2017 respectively.

<u>Required:</u>

(a) Analyse the stamp duty exposure of Mr Chan and Mrs Chan in connection with the acquisition of Property A together with the two car parking spaces and compute, if any, the stamp duty liabilities.

(9 marks)

(b) Analyse the stamp duty exposure of Mr Chan and Mrs Chan in connection with the acquisition of Property B and Property C.

Note: Computation is not required.

(5 marks)

Question 8 **(17 marks – approximately 30 minutes)**

AB Consulting Services Company Limited ("AB") is a Hong Kong company which has been engaging in IT consulting and software development in Hong Kong and Europe for years. The following is AB's income statement for the year ended 31 March 2018:

INCOME	HK$
Consulting services fee	48,346,000
Server services fee	2,865,000
Royalty income (Note 1)	3,783,000
	54,994,000
OTHER INCOME	
Compensation for early termination of a hub services contract by a customer	2,470,000
Exchange gain from daily business operation	346,500
Exchange gain from translation of bank balance	136,700
	2,953,200
EXPENSES	
Auditor's remuneration	50,000
Depreciation	2,560,300
Directors' remuneration	3,500,000
Finance cost	568,000
Legal and professional fees (Note 2)	130,000
Written-off of the outstanding amount due from employee (Note 3)	1,100,000
Rent and rates	2,240,000
Software developing expenses	2,302,000
Staff costs	6,321,000
Contribution to recognised retirement scheme	320,000
Utilities	250,000
Renovation work in the directors' quarters	500,000
Renovation work in the office premises	820,000
	20,661,300
Profit before taxation	37,285,900

Notes:

(1) The royalty income was received from Wonderful Computer Limited ("WCL"), a company incorporated in the PRC, in respect of the right of use of an accounting system "Account Easy" developed by AB in Hong Kong. By a licensing agreement entered into between AB and WCL on 20 November 2017 during a meeting in AB's office, AB agreed to grant a right to WCL to use the accounting system in its branches network in the PRC. To settle the licence fee, WCL was required to transfer the sum, after netting off the withholding tax of HK$23,486 payable to the PRC tax authority, from its bank account in the PRC to AB's bank account, also maintained in the PRC.

(2) Includes taxation services fee of HK$30,000 and professional consultancy fee of HK$100,000 for setting up a branch in the UK.

(3) AB provided a staff benefit by offering financing plan to its staff for home purchasing with concessionary interest rate slightly lower than the market bank lending rate. The interest income arising from this plan has been duly recorded as AB's income in its accounts. All of the employees are resident in Hong Kong. During the year, four participants of this plan left AB and did not repay their outstanding loan balances. AB's management has agreed to waive the right to pursue these debtors further, and the outstanding loan balances were fully written off in the accounts.

AB acquired various items of furniture for HK$350,000 and a motor vehicle for business purposes for HK$400,000.

The tax written down values of fixed assets ranked into 20% and 30% pools claiming depreciation allowances brought forward from the prior year are HK$2,468,000 and HK$320,000 respectively. For the commercial building allowance, the total ranking costs brought forward and the respective tax written down value are HK$5,324,000 and HK$3,275,000 respectively.

Required:

(a) Explain the tax implication in respect of the following items:

(i) Taxability of the royalty income derived from WCL; and

(5 marks)

(ii) Deductibility of the written-off of the outstanding amount due from employees.

(2 marks)

(b) Prepare the profits tax computation for AB for the year of assessment 2017/18.

(10 marks)

* * * END OF EXAMINATION PAPER * * *